GOLDMAN SACHS

Financial Performance Analysis

Financial Performance, Profitability, and Business Segment Analysis
2021-2025

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Data Source: Publicly available Goldman Sachs annual reports and financial disclosures.

Independent educational portfolio project; not affiliated with or endorsed by Goldman Sachs.

EXECUTIVE SUMMARY

Project Overview

Introduction. This project evaluates Goldman Sachs financial performance from 2021 through 2025 using publicly available firmwide and business-segment financial disclosures. The analysis focuses on revenue, earnings, operating efficiency, profitability, shareholder-return metrics, and segment contribution.

Business Problem. Stakeholders need a concise view of how Goldman Sachs financial performance changed across a volatile five-year period, which business segments drove revenue, and whether profitability and efficiency recovered after the 2023 low.

Objective. Translate public financial disclosures into clear performance trends, concise findings, and decision-oriented insights for stakeholder review.

Scope. Firmwide analysis covers 2021-2025. Business-segment analysis uses the comparable segment data assembled for 2023-2025.

Business Questions

1. How have net revenues and net earnings changed over time?
2. How have operating expenses changed relative to revenue?
3. Which business segments contribute the most revenue?
4. How has profitability changed?
5. What do ROE, EPS, and profit margin reveal?
6. What financial patterns should be monitored?

Stakeholder focus

The report prioritizes the metrics and trends most useful for rapid review rather than reproducing the full annual-report detail.

DATA OVERVIEW

Data Sources & Financial Metrics

The analysis uses public Goldman Sachs financial disclosures compiled into structured firmwide and segment datasets. Financial-statement values are presented in USD millions unless converted to billions for stakeholder-facing visuals.

2025 Net Revenues	2025 Net Earnings	2025 ROE	2025 Diluted EPS
$58.3B	**$17.2B**	**15.0%**	**$51.32**

Firmwide Financial Summary

Year	Net Revenues	Operating Expenses	Net Earnings	Diluted EPS	ROE
2021	$59.3B	$31.9B	$21.6B	$59.45	23.0%
2022	$47.4B	$31.2B	$11.3B	$30.06	10.2%
2023	$46.3B	$34.5B	$8.5B	$22.87	7.5%
2024	$53.5B	$33.8B	$14.3B	$40.54	12.7%
2025	$58.3B	$37.5B	$17.2B	$51.32	15.0%

Business segment data used in this project covers Global Banking & Markets, Asset & Wealth Management, and Platform Solutions for 2023-2025.

Analytical Approach

The analysis follows a structured process from source review and data validation through trend analysis, comparison, and presentation. The report emphasizes material financial changes and interprets them in a concise stakeholder format.

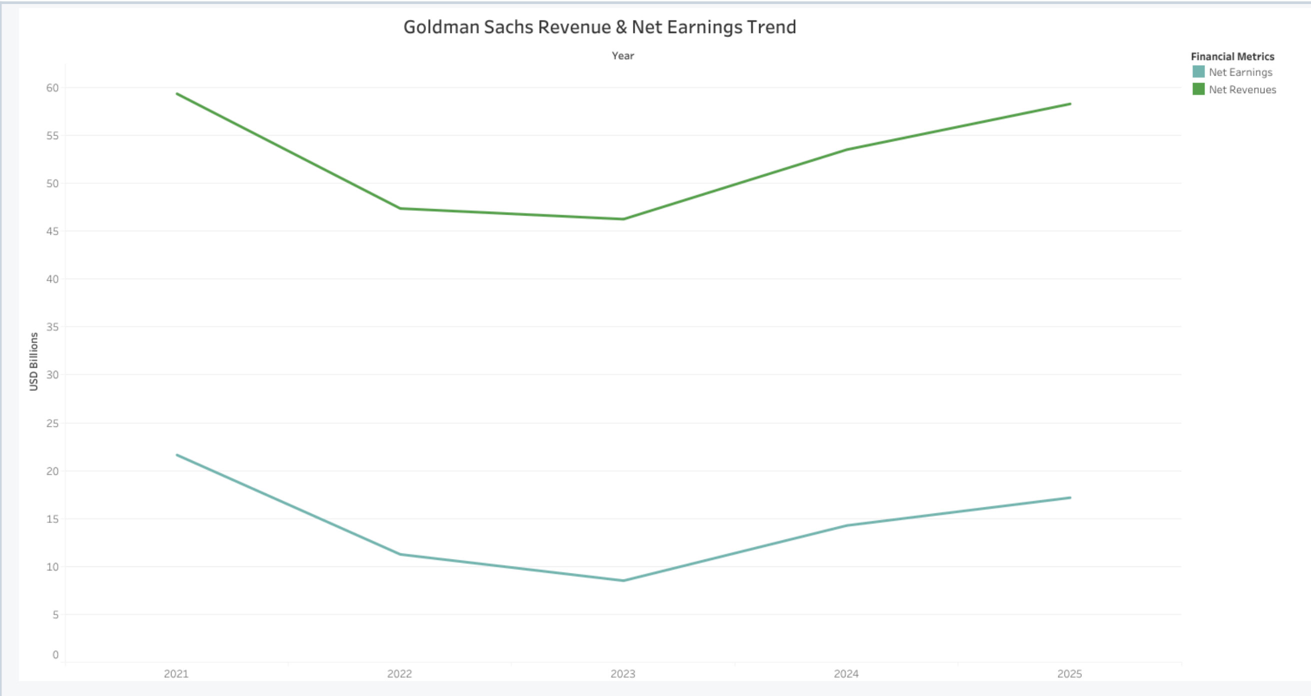
Stage	Analytical Step	Purpose
Source Review	Review public financial disclosures	Identify firmwide and business-segment metrics for the analysis period.
Data Structuring & Quality Review	Standardize and validate historical figures	Organize comparable yearly data, confirm units, and check completeness, duplicates, and reporting consistency.
Trend Analysis	Compare financial performance over time	Evaluate revenue, expenses, earnings, profitability, and shareholder-return measures across the analysis period.
Segment Analysis	Compare business mix and growth	Measure segment contribution, growth, and changes in the revenue mix.
Presentation	Prioritize material findings	Summarize the most decision-relevant KPIs, trends, and monitoring priorities for stakeholder review.

Quality Checks

- Firmwide dataset: 5 yearly records, 0 missing values, and 0 duplicate rows.
- Business-segment dataset: 9 records, 0 missing values, and 0 duplicate rows.
- Metrics were kept in their disclosed units during analysis and converted only for presentation where appropriate.
- Derived metrics were checked for consistency before being used in stakeholder-facing findings and visuals.

REVENUE & EARNINGS

Financial Performance



Key Takeaways

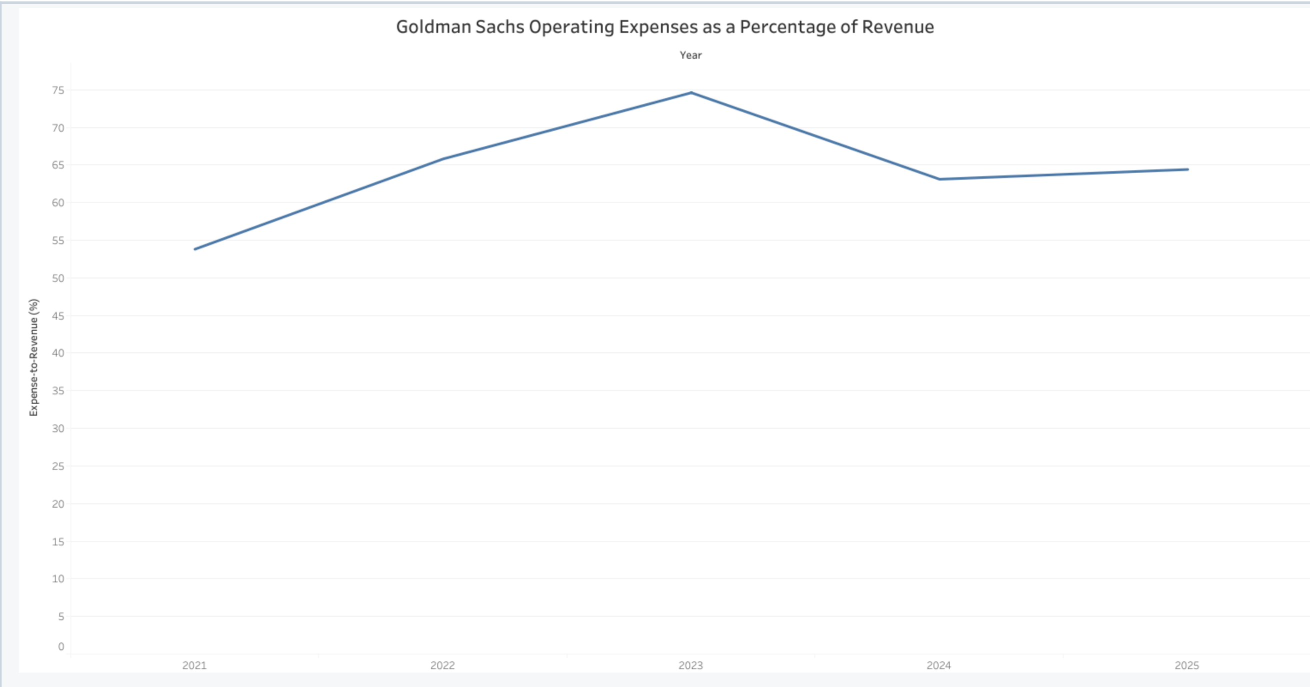
- Net revenues fell from $59.3B in 2021 to $46.3B in 2023 before recovering to $58.3B in 2025.
- Net earnings declined more sharply, from $21.6B in 2021 to $8.5B in 2023, then recovered to $17.2B in 2025.
- By 2025, revenue had nearly returned to the 2021 level, while earnings remained below the 2021 peak.

Stakeholder interpretation

The five-year pattern shows a pronounced 2022-2023 downturn followed by a strong 2024-2025 recovery, with profitability recovering faster than revenue after the 2023 low.

EXPENSE DISCIPLINE

Operating Efficiency



Key Takeaways

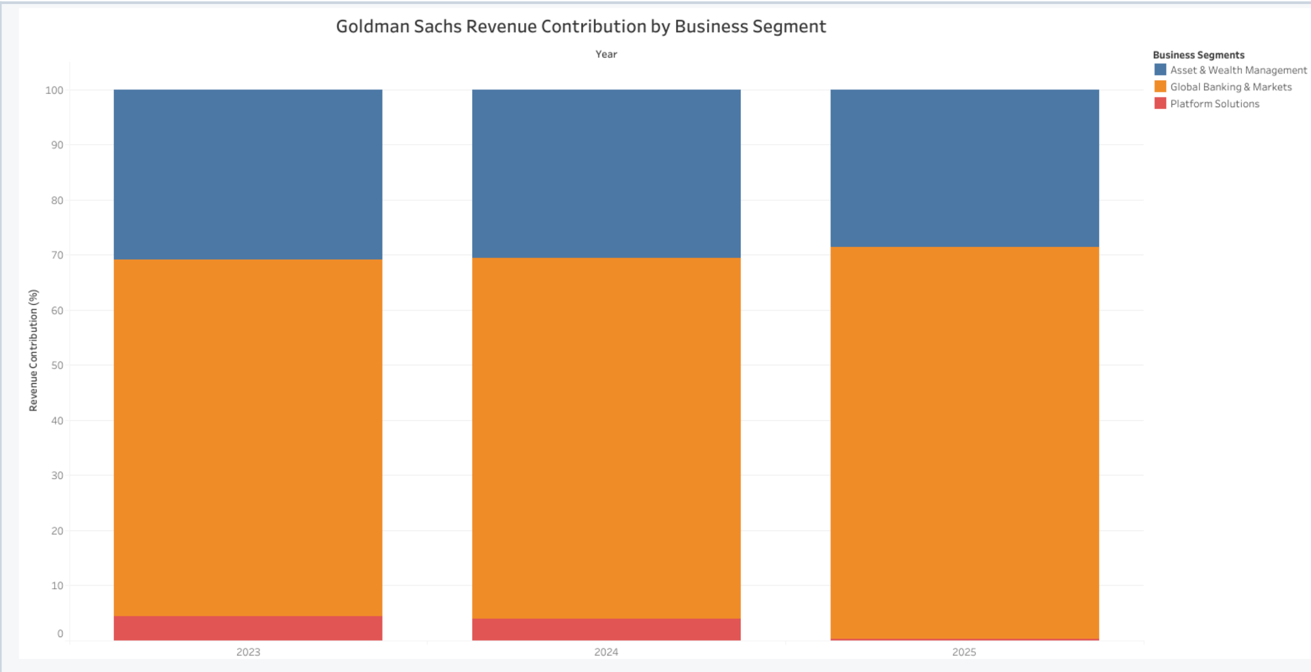
- Operating expenses represented 53.8% of net revenues in 2021.
- The expense-to-revenue ratio increased to 74.6% in 2023 as revenue weakened and expenses remained elevated.
- Efficiency improved to 63.1% in 2024, followed by a modest increase to 64.4% in 2025.

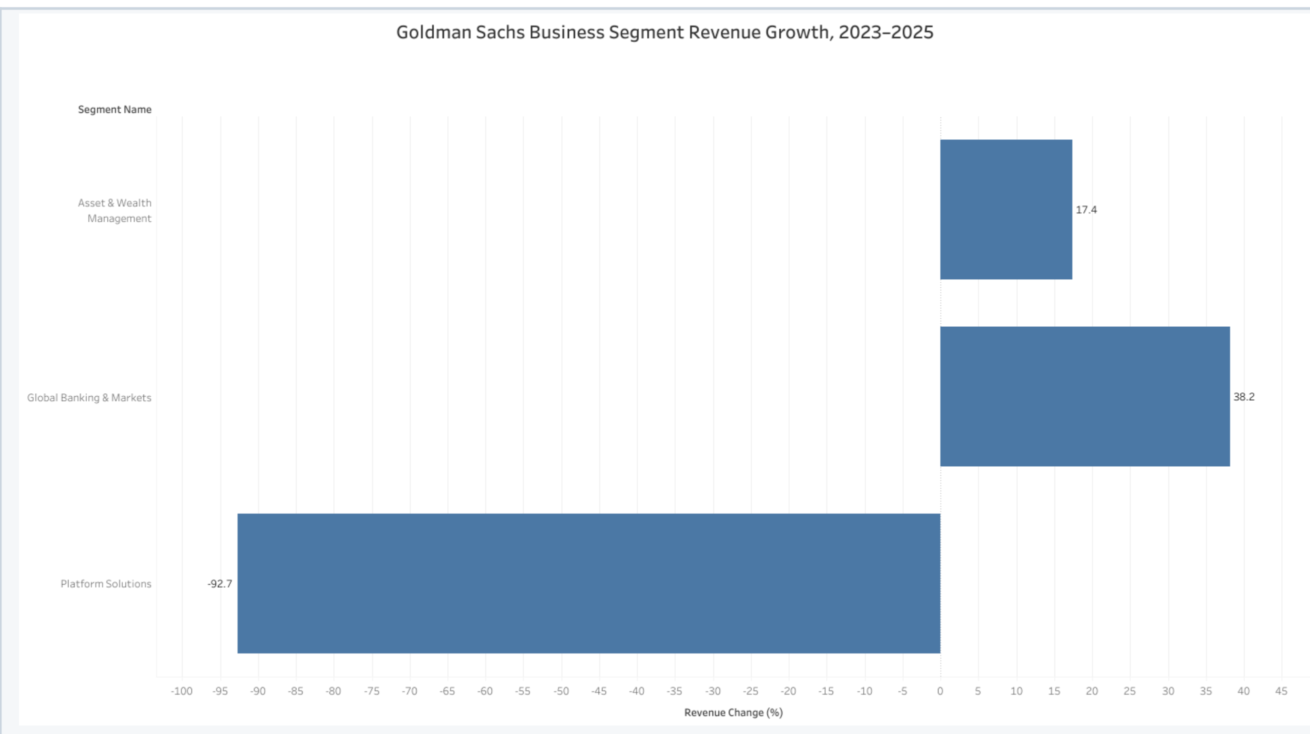
Monitoring priority

Expense growth should continue to be evaluated alongside revenue growth. From 2021 to 2025, operating expenses increased 17.6% while net revenues remained slightly below the 2021 level.

REVENUE MIX & GROWTH

Business Segment Performance



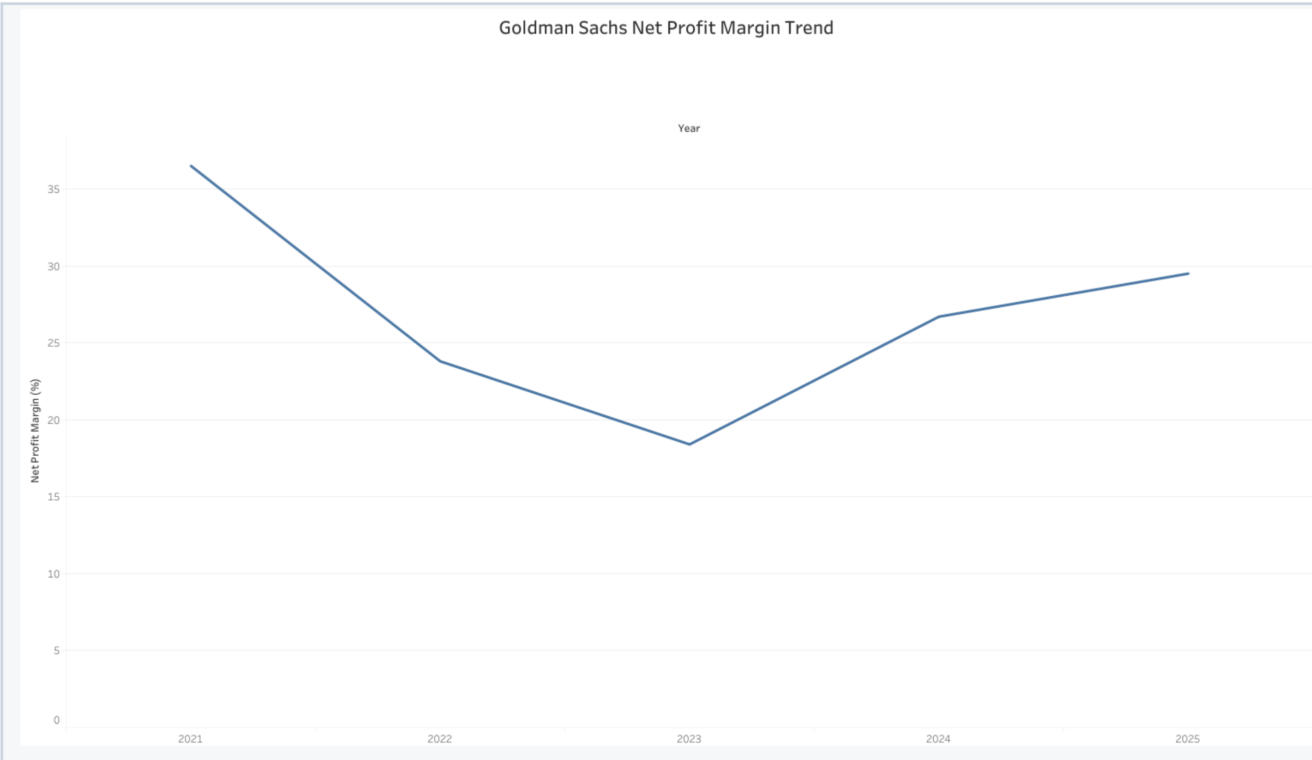


Key Takeaways

- Global Banking & Markets was the largest segment, increasing from 64.8% of segment revenue in 2023 to 71.1% in 2025.
- Asset & Wealth Management contributed approximately 30.7% in 2023 and 28.6% in 2025.

- From 2023 to 2025, Global Banking & Markets revenue increased 38.2% and Asset & Wealth Management increased 17.4%, while Platform Solutions revenue declined 92.7%.

Profitability & Performance Trends



Profitability Recovery

- Net profit margin declined from 36.5% in 2021 to 18.4% in 2023, then recovered to 29.5% in 2025.
- ROE declined from 23.0% in 2021 to 7.5% in 2023 and recovered to 15.0% in 2025.
- Diluted EPS followed the same pattern, falling to $22.87 in 2023 before recovering to $51.32 in 2025.

Recovery Analysis: 2023-2025

Metric	2023	2025	Change
Net Revenues	$46.3B	$58.3B	+26.0%
Net Earnings	$8.5B	$17.2B	+101.7%
Diluted EPS	$22.87	$51.32	+124.4%
ROE	7.5%	15.0%	+100.0%

The recovery analysis compared 2023 with 2025 using a common baseline and multi-period growth rates to show the pace and breadth of improvement across revenue, earnings, EPS, and ROE.

STAKEHOLDER SUMMARY

Key Findings & Recommendations

Key Finding	Recommendation / Monitoring Action
Revenue recovered to $58.3B in 2025, close to the 2021 level, while net earnings remained below the 2021 peak.	Track revenue and earnings together to distinguish top-line recovery from full profitability recovery.
Expense-to-revenue peaked at 74.6% in 2023 and improved to 64.4% in 2025.	Maintain focus on expense discipline as revenue expands; monitor whether the efficiency ratio continues to improve.
Global Banking & Markets represented 71.1% of 2025 segment revenue.	Monitor concentration in the largest segment and compare growth across the remaining businesses.
Net profit margin, ROE, and EPS all recovered materially after 2023 but remained below 2021 levels.	Evaluate profitability using multiple metrics rather than a single indicator.
From 2023 to 2025, net earnings increased 101.7% and diluted EPS increased 124.4%.	Use 2023 as a recovery benchmark while also comparing results with the stronger 2021 baseline.
Platform Solutions revenue declined sharply from 2023 to 2025.	Treat the segment separately when interpreting consolidated growth because its revenue base changed materially.

Recommendations are analytical monitoring priorities based on the project dataset; they are not investment advice.

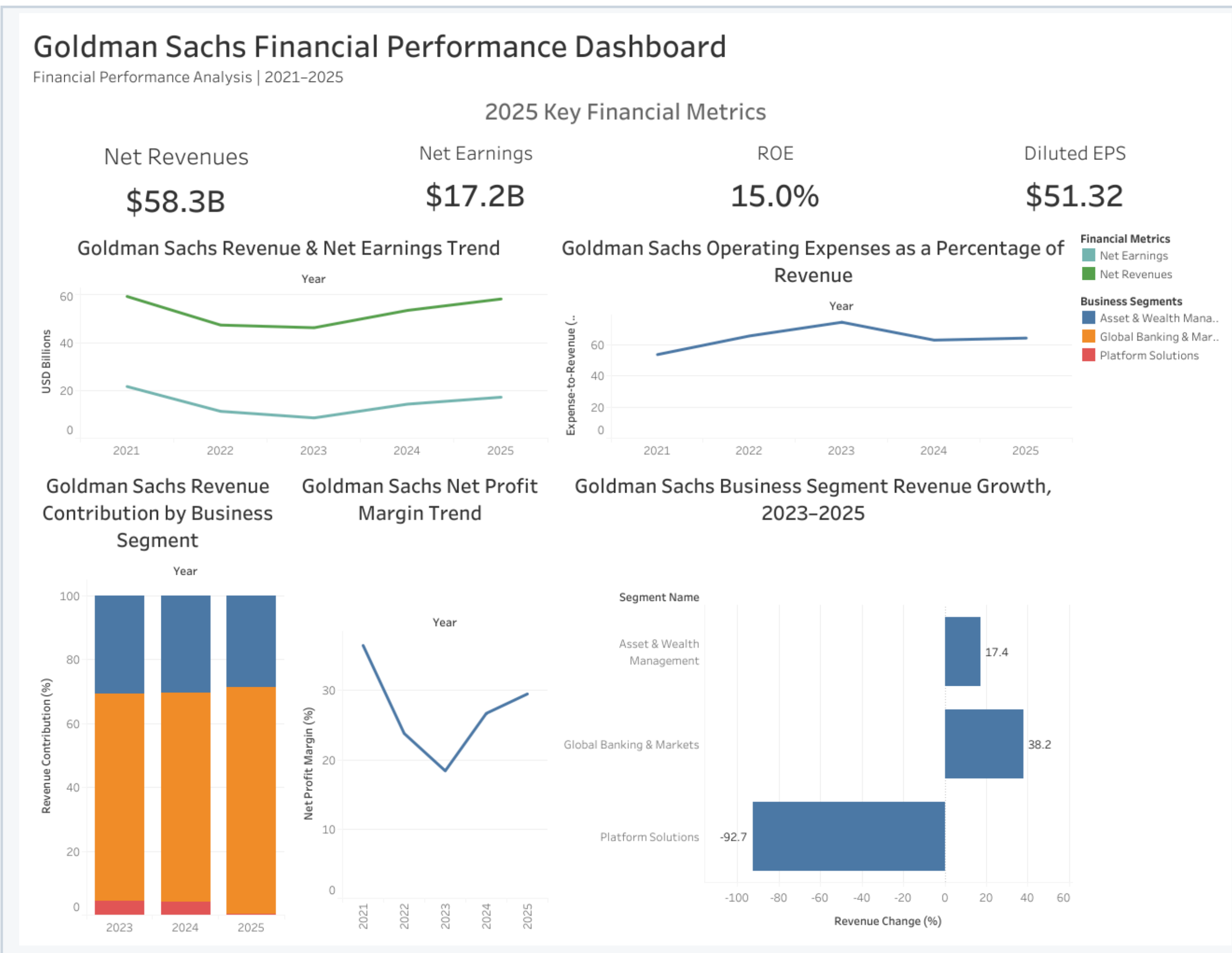
FINAL ASSESSMENT

Conclusion

Goldman Sachs experienced a significant decline in revenue and profitability through 2023, followed by a strong recovery in 2024 and 2025. By 2025, net revenues had nearly returned to the 2021 level, while net earnings, ROE, diluted EPS, and profit margin had improved substantially from their 2023 lows but remained below the 2021 peak.

Business-segment analysis shows that Global Banking & Markets became an increasingly important revenue driver, while Asset & Wealth Management remained a substantial secondary contributor. Overall, the analysis demonstrates how public financial disclosures can be distilled into concise, decision-oriented insights for stakeholder review.

2025 Net Revenues	2025 Net Earnings	2025 Net Profit Margin	2025 ROE
$58.3B	**$17.2B**	**29.5%**	**15.0%**



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